

MODULE 3: COMPETITIVE STRATEGY & INNOVATION

Interactive 3-Hour Rhythm

Session 3.3: Disruptive Innovation

Low-end footholds, incumbent revenue model traps, and Blockbuster vs. Netflix.

PART 1 (LECTURE)

60 Minutes

PART 2 (LAB PRACTICE)

60 Minutes

PART 3 (EXECUTIVE MEMO)

60 Minutes

STANDARD

Audited SEC Filings

Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

CORE COMPETENCIES

Goals

What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

DISRUPTION MECHANICS

Vocabulary

Key Topical Foundations

- **Christensen et al. (2015):** Low-end & new-market disruption footholds.
- **Sustaining vs. Disruptive:** Incumbents win sustaining, lose disruptive battles.
- **Performance Oversupply:** Simpler, cheaper products improving rapidly over time.
- **Micro-Examples:** DVD by mail, Robinhood zero commission, discount e-commerce.

Theoretical Foundations: Disruption Mechanics

Rigorous analytical frameworks and literature benchmarks.

THEORETICAL ARCHITECTURE

Literature

Seminal Framework Insights

- **Christensen et al. (2015):** Low-end & new-market disruption footholds.
- **Sustaining vs. Disruptive:** Incumbents win sustaining, lose disruptive battles.
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STRATEGIC APPLICATION

Analysis

Business Model Mechanics

- **Peak Incumbent (2004):** 9,000 retail stores globally and \$5.9B revenue.
- **Penalty Revenue Trap:** Late fees generated over \$800M annual operating profit.
- **Netflix Model:** Flat monthly subscription with zero late fees.
- **Bankruptcy (2010):** Blockbuster could not eliminate fees without destroying earnings.

STRATEGIC TAKEAWAY

Low-end footholds, incumbent revenue model traps, and Blockbuster vs. Netflix.

Enterprise Case Dissection: Blockbuster vs. Netflix

Historical case evidence and multi-year corporate trajectory analysis.

CORPORATE DYNAMICS

Timeline

Market Conditions & Strategic Moves

- **Peak Incumbent (2004):** 9,000 retail stores globally and \$5.9B revenue.
- **Penalty Revenue Trap:** Late fees generated over \$800M annual operating profit.
- **Netflix Model:** Flat monthly subscription with zero late fees.
- **Bankruptcy (2010):** Blockbuster could not eliminate fees without destroying earnings.

ANALYTICAL FOCUS

Evidence

Operational & Financial Findings

- **Blockbuster 10-K Data:** Total revenue, extended viewing fees, net losses.
- **Late Fee Dependency:** $\text{Late Fees} / \text{Total Revenue} (=D2/C2*100)$.
- **Netflix Growth Rate:** $\text{YoY growth trajectory calculation} (= (C7-C6)/C6*100)$.
- **Incumbent Dilemma:** Late fees were 12.5%-15.5% of revenue while firm lost money.

Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

SPREADSHEET MODELING

Lab Spec

Data Metrics & Formulas

- **Blockbuster 10-K Data:** Total revenue, extended viewing fees, net losses.
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MANAGEMENT DILEMMA

Decision Lab

Strategic Tension

- **Managerial Inertia:** Why store VPs resisted shifting capital to online video.
- **Modern Penalty Traps:** Identifying friction/penalty fees in airlines, banking, hotels.
- **Disruptive Counter-Model:** Designing a zero-fee platform attacking modern incumbents.
- **Strategic Memo:** Framework for unbundling customer friction from earnings.

Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

Corporate Strategic Tension

- **Managerial Inertia:** Why store VPs resisted shifting capital to online video.
- **Modern Penalty Traps:** Identifying friction/penalty fees in airlines, banking, hotels.
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EVALUATION RUBRIC

Requirements

Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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